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Mixed-Use Capital Is Betting on Experience, Not Just Rent

Tuscan Village's latest leasing round-Whole Foods, Free People, and more-shows where institutional capital is flowing in mixed-use development.

Four New Tenants Sign at Tuscan Village Near Boston

Whole Foods Market, Free People, L.L.Bean, and P.F. Chang's have joined the 170-acre mixed-use project in Salem, New Hampshire. The development includes 1,200 residential units and 500,000 square feet of retail and office space.

SIGNIFICANCE

This Leasing Round Signals Confidence in Experiential Retail

Capital is flowing to projects that combine daily needs (groceries) with discovery (apparel, dining). Tuscan Village is designed as a destination, not just a place to shop-and lenders and equity partners are taking note.

Mixed-Use Financing Requires a Different Underwriting Lens

Traditional retail underwriting focuses on rent per square foot. Mixed-use projects like Tuscan Village require lenders to evaluate residential absorption, foot traffic patterns, and tenant mix synergy. The capital stack is more complex-but the returns can be more resilient.

THE REAL QUESTION

How Do You Underwrite a Place, Not Just a Property?

The challenge for sponsors and lenders is valuing the ecosystem. A Whole Foods drives daily visits. Free People drives weekend browsing. Residential tenants create base demand. The question is: can the whole be worth more than the sum of its parts?

WHO CARES?

Three Parties Watching This Closely

- * Sponsors: Can we replicate this model in other markets?
- * Lenders: Does the tenant mix reduce lease-up risk?
- * Investors: Are mixed-use assets trading at a premium to single-use retail?

MARKET CONTEXT

This Is Part of a Broader Shift Toward Placemaking

Capital is rotating away from pure retail and toward mixed-use developments that offer live-work-play density. Projects with strong anchors and residential components are seeing better financing terms and faster lease-up.

What to Watch: Lease-Up Velocity and Cap Rate Compression

If Tuscan Village leases up quickly and stabilizes at projected rents, it could set a benchmark for mixed-use financing in secondary markets. Watch for comparable transactions and lender appetite for similar structures.

THE LESSON

Experience-Driven Mixed-Use Is Attracting Institutional Capital

The simple version: capital is following people, and people want places that feel alive. Light Tower Group helps sponsors and lenders navigate the capital stack for complex mixed-use projects. Connect with Benjamin Rohr for capital strategy and placement.